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CORRECT ANSWER SOLVED BY HADI
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(Final Term Past Paper)

MADE AND SOLVED BY TEAM HADI

WARNING: Team HADI is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.



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Best of luck!



Question No : 1 of 60

Marks: 1 (Budgeted Time 1 Min)

The supply curve for a competitive firm is:

Answer (Please select your correct option)

Its entire MC curve.

☐

The upward-sloping portion of its MC curve.

☐

Its MC curve above the minimum point of the AVC curve.

☐

Its MC curve above the minimum point of the ATC curve.

☐

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Question No : 2 of 60

Marks: 1 (Budgeted Time 1 Min)

When the demand curve is downward sloping, marginal revenue is:

Answer (Please select your correct option)

☐ Equal to price.

☐ Equal to average revenue.

☒ Less than price.

☐ More than price.



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Question No : 5 of 60

Marks: 1 (Budgeted Time 1 Min)

Suppose that three oligopolistic firms are currently charging \$12 for their product. The three firms are about the same size. Firm A decides to raise its price to \$18, and announces to the press that it is doing so because higher prices are needed to restore economic vitality to the industry. Firms B and C go along with Firm A and raise their prices as well. This is an example of:

check plz

Answer (Please select your correct option)

Price leadership.

☐

Collusion.

☐

The dominant firm model.

☒

The Stackelberg model.

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Question No : 6 of 60

Marks: 1 (Budgeted Time 1 Min)

If all producers in a market are not cartel members, then the demand curve facing the cartel is:

Answer (Please select your correct option)

- ☐ The market demand curve.
- ☐ Horizontal.
- ☐ Identical to the demand curve in the dominant firm model.
- ☐ Identical to the monopolist's demand curve.



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Question No : 7 of 60

Marks: 1 (Budgeted Time 1 Min)

Other things being equal, the marginal revenue product (MRP) curve for a competitive seller:

Answer (Please select your correct option)

Lies below the MRP curve for a monopolist.

☐

Is identical to the MRP curve for a monopolist.

☐

Lies above the MRP curve for a monopolist.

☐

Is upward sloping whereas a monopolist has a downward sloping MRP curve.

☐

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Question No : 9 of 60

Marks: 1 (Budgeted Time 1 Min)

When the factor market is purely competitive, the firm's average expenditure curve for a factor of production is:

Answer (Please select your correct option)

Upward sloping and to the right of the marginal expenditure curve.

☐

Downward sloping and to the right of the marginal expenditure curve.

☐

Identical to the marginal expenditure curve.

☐

Downward sloping and to the left of the marginal expenditure curve.

☐

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Question No : 10 of 60

Marks: 1 (Budgeted Time 1 Min)

The market structure in which strategic considerations are most important is:

Answer (Please select your correct option)

☐ Monopolistic competition.

☒ Oligopoly.

☐ Pure competition.

☐ Pure monopoly.

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Question No : 11 of 60

Marks: 1 (Budgeted Time 1 Min)

The magnitude of the slope of an indifference curve is:

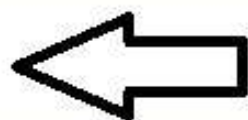
Answer (Please select your correct option)

☐ Always equal to the ratio of the prices of the goods.

☐ Called the marginal rate of substitution.

☐ Equal to the ratio of the total utility of the goods.

☐ All of the given options.



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Question No : 13 of 60

Marks: 1 (Budgeted Time 1 Min)

The short run market supply curve is:

Answer (Please select your correct option)

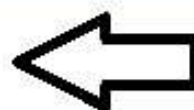
☐ The horizontal summation of each firm's short-run supply curve.

☐ The vertical summation of each firm's short-run supply curve.

☐ The horizontal summation of each firm's short-run average cost curve.

☐ The vertical summation of each firm's short-run average cost curve.

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Question No : 15 of 60

Marks: 1 (Budgeted Time 1 Min)

Rule of thumb for pricing is:

$$P=MC/Ed$$

C

$$P=1+Ed$$

C

$$P=1/Ed$$

C

$$P=MC/1+(1/Ed)$$

C

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Question No : 18 of 60

Marks: 1 (Budgeted Time 1 Min)

Advertising elasticity ratio to the price elasticity – (E_A/E_B) is equal to:

For maximum profit, a company's advertising-to-sales ratio should be equal to minus the ratio of the advertising and price elasticities of demand, or $A/PQ = -(E_A/E_P)$. If a company finds that their AED is high, or if their PED is low, they should advertise heavily.

Answer (Please select your correct option)

☐ A * PQ

☐ C

☐ PQ/A

☐ C

☐ A/PQ

☒ C

☐ None of the given options are true.

☐ C

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Question No : 21 of 60

Marks: 1 (Budgeted Time 1 Min)

An increase in the participation rate of women in the Pakistan's labour force:

Answer (Please select your correct option)

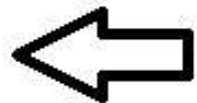
☐ Has shifted the supply of labour to the left.

☐ Resulted in a faster increase in wages.

☐ Has increased the demand for labour.

doubt

☐ Has shifted the supply curve of labour to the right.



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Question No : 22 of 60

Marks: 1 (Budgeted Time 1 Min)

The demand curve for new text books has shifted to the right. What would have caused it?

Answer (Please select your correct option)

- ☐ A fall in the price of new text books.
- ☐ A fall in the price of equivalent used text books.
- ☐ An increase in the number of students attending college.
- ☐ All of the given options.



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Question No : 23 of 60

Marks: 1 (Budgeted Time 1 Min)

Which of the following option is true about substitute goods?

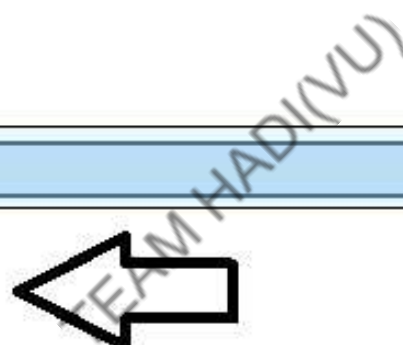
Answer (Please select your correct option)

☐ Gasoline and motor oil.

☐ Owner-occupied housing and rental housing.

☐ Baseball bats and baseballs.

☐ Computer hardware and software.



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Question No : 25 of 60

Marks: 1 (Budgeted Time 1 Min)

Since bread and butter are complements. When the price of bread goes up, the demand curve for butter:

Answer (Please select your correct option)

Shifts to the left.

☐

Shifts to the right.

☐

Remains constant.

☐

Shifts to the right initially and then returns to its original position.

☐



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Question No : 26 of 60

Marks: 1 (Budgeted Time 1 Min)

If tea and milk are complements, then an increase in the price of milk will cause:

A decrease in the price of tea.

☐

Less tea to be demanded at each price.

☐

A decrease in the demand for milk.

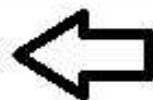
☐

A rightward shift in the demand curve for milk.

☐

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by concept

Question No : 27 of 60

Marks: 1 (Budgeted Time 1 Min)

What does the convex shape of an indifference curve reflect?

Answer (Please select your correct option)

☐ An increasing marginal rate of substitution

☒ A decreasing marginal rate of substitution

☐ A constant marginal rate of substitution

☐ A marginal rate of substitution that first decreases then increases

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Question No : 29 of 60

Marks: 1 (Budgeted Time 1 Min)

Slope of marginal utility curve shows that:

Marginal Utility

5
4
3
2
1

The fact that total utility increases at a decreasing rate is shown by negative slope of marginal utility curve

MU

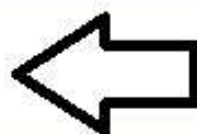
Answer (Please select your correct option)

Marginal utility increases at an increasing rate.

Total utility increases at a decreasing rate.

Marginal utility increases at a decreasing rate.

Total utility increases at an increasing rate.



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